

Employing in Brazil

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant CLT contracts under the Consolidation of Labor Laws
- **Monthly payroll** — salary payments in BRL, itemised payslips filed via eSocial
- **Tax withholding** — progressive IRRF income tax withheld and remitted monthly
- **INSS & FGTS** — social security and the severance guarantee fund contribution stack
- **Leave and termination management** — 13th salary, vacation bonus and FGTS termination penalty guidance

Employment Conditions

Contracts & Probation

Brazil's CLT (Consolidation of Labor Laws) governs almost every aspect of formal employment, and Brazilian labour courts are exceptionally active — over 2 million labour lawsuits are filed annually, many involving overtime, 13th salary and FGTS disputes.

Item	Detail	Legal Basis
Probation period	Maximum 90 days (typically split into two 45-day periods)	CLT
eSocial reporting	Unified digital platform consolidating labour, social security and tax filings	Federal reporting requirement
Contractor reclassification risk	Exclusivity, fixed schedule or subordination can trigger reclassification to CLT employment, with full retroactive liability	CLT case law

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage	BRL 1,622/month	Adjusted annually using INPC inflation plus capped GDP growth
Employer INSS contribution	~20% of gross salary	Plus RAT (work accident risk levy, 1%–3%) and third-party contributions (~5.8%)
FGTS (severance fund)	8% of gross salary (including overtime, 13th salary, vacation pay)	Deposited monthly into an individual employee account at Caixa Econômica Federal
FGTS termination penalty	40% of the total accumulated FGTS balance	Payable in addition to ordinary FGTS if the employee is dismissed without cause

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	30 days/year, plus a constitutional 1/3 vacation bonus	Employer	After 12 months' service; the 1/3 bonus is a genuine additional payment on top of ordinary pay during leave
13th Salary	1 full extra month's salary/year	Employer	Paid in 2 installments (mid-year and December); also attracts INSS/FGTS contributions
Maternity Leave	120 days	Employer, reimbursed via INSS	Extendable to 180 days for companies in the Empresa Cidadã program

★ HERO TIP

Brazil is one of the most expensive jurisdictions in the world for employer-side statutory cost — total on-costs (INSS, FGTS, RAT, third-party contributions, 13th salary and vacation bonus) typically add 70%–100% on top of gross salary. Combined with an exceptionally litigious labour environment, always work with an EOR that assumes full CLT liability and has a strong track record with Brazilian labour courts.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer INSS (20%)	\$600.00	20.00%
FGTS (8%)	\$240.00	8.00%
RAT + third-party contributions (illustrative, ~7%)	\$210.00	7.00%
13th salary accrual (1/12)	\$250.00	8.33%
Vacation bonus accrual (1/3 of 1/12)	\$83.00	2.78%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Total monthly cost to employer	\$4,983.00	166.10%

Estimated total monthly cost	~\$4,983.00	~166.1%
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HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. This excludes the 40% FGTS termination penalty, which only applies on dismissal without cause. Employee deductions (withheld separately) include progressive INSS (7.5%–14%, capped at BRL 8,474) and progressive IRRF income tax.

Income Tax (IRRF, 2026)

Brazil applies progressive income tax rates, with a recent exemption threshold raised to BRL 5,000/month for the lowest bracket under 2026 tax reform.

Termination & Separation

Termination without cause requires prior notice (aviso prévio, minimum 30 days, +3 days per year of service up to 90 days total), payment of all accrued benefits (13th salary, vacation + 1/3 bonus), and the 40% FGTS termination penalty. Termination for cause (justa causa) requires documented serious misconduct and removes the notice and penalty obligations, but is closely scrutinised by labour courts.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
~February	Carnival (Monday–Tuesday, not a formal national holiday but almost universally observed)	De facto national
3 April	Good Friday	National
21 April	Tiradentes Day	National
1 May	Labour Day	National
4 June	Corpus Christi (de facto, not all states)	Regional/de facto
7 September	Independence Day	National
12 October	Our Lady of Aparecida	National
2 November	All Souls' Day	National
15 November	Republic Proclamation Day	National
20 November	Black Awareness Day	National (federal holiday since 2024)
25 December	Christmas Day	National

Individual states and municipalities add further local holidays — always confirm against the employee's registered state.

Ready to hire in Brazil?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries. Onboard your first Brazil employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).